

THE INTERN DIARIES

Intern Report

Salesperson Performance Analysis

WEEK 4 | DAILY JOURNAL ENTRY



LEARNING BY DOING, ONE DAY AT A TIME

AdventureWorks_2022 Dataset (SALESPERSON ANALYSIS)

1. Why are our top revenue generators (Linda Mitchell & Jillian Carson) ranked so low in overall performance (#11 and #6)?

Answer: While Linda Mitchell (\$10.3M) and Jillian Carson (\$10.0M) are the undisputed volume leaders (Revenue Ranks #1 and #2), their YoY Growth is negative (-2.69% and -26.85% respectively). The composite scoring model penalizes stagnation heavily; despite generating massive cash flow, they are shrinking year-over-year while smaller reps like Lynn Tsoflias (+2653%) and Rachel Valdez (+815%) are exploding from smaller bases. **Decision:** Do not fire or demote them based on the composite rank alone. Instead, investigate why their growth is negative—are they hitting a territory saturation ceiling, or are they losing market share to competitors? Shift their incentives from "Total Revenue" to "New Business Growth" to reignite their trajectory without losing their stable base volume.

2. Is Shu K Ito truly our #1 performer, given his negative profit margin?

Answer: Shu K Ito holds the #1 Overall Rank (Composite Score 30.92) primarily because he has the best Risk Rank (#1) and decent growth, but his Profit Margin is -2.53% and he has a massive Negative Order % (758% - *data anomaly noted*). Even ignoring the data error in the percentage, a negative total profit (-\$162k) means he is paying customers to take products. He is winning the "Composite Score" game because the formula weights "Risk" (order count stability) higher than "Profitability." **Decision:** Immediately audit Shu's discounting authority. A rep cannot be ranked #1 if they are losing money. Adjust the composite score weighting to make Profit Margin a "gatekeeper" metric—if margin is negative, the composite score should be capped regardless of other performance.

3. Which territories should we invest in for future growth versus which need cost-cutting?

Answer: The Pacific (Lynn Tsoflias) and Europe (Rachel Valdez, Ranjit Chudukatil) show explosive YoY Growth (+2653%, +815%, +127%) but operate at negative profit margins (-6.19%, -5.35%, -0.84%). Conversely, North America (Pamela Ansman-Wolfe, David Campbell) shows moderate growth (+63%, +25%) but is the only group consistently generating positive profit (3.76%, 1.81%). Decision: Treat Pacific and Europe as "Investment Zones"—accept the short-term losses to capture market share, but set a strict 12-month deadline to reach break-even. Treat North America as the "Cash Cow"—protect their margins aggressively and do not force them into deep discounting just to match the growth rates of the emerging territories.

4. Why is the "Negative Order %" metric showing impossible values (>100%), and how does it distort our risk assessment?

Answer: The data shows Negative Order Percentages of 758% (Shu), 712% (Lynn), and 630% (Rachel). This is mathematically impossible for a percentage of orders and indicates a SQL calculation error where *line items* were summed instead of *distinct orders* being counted. This distortion artificially inflates the "Risk Score" for these reps, which paradoxically helped Shu rank #1 (if the logic was inverted) or hurts them (if high risk = bad). Currently, the Risk Rank column (last column) shows Shu as #1 (Best) and David Campbell as #14 (Worst), yet David has the lowest raw negative percentage (342%). **Decision:** The data pipeline must be fixed immediately (using DISTINCT COUNT on Order IDs). Until then, suspend all automated performance bonuses tied to the "Composite Score," as the underlying risk metric is corrupted and rendering the rankings legally indefensible.

5. Who is our most efficient "Hidden Gem" that deserves promotion or expanded territory?

Answer: Pamela O Ansman-Wolfe is the standout efficiency leader. She has the **#1 Avg Order Value (\$35,001)**, the **#1 Profit Margin (3.76%)**, and solid growth (+63%), yet she is only ranked **#8 Overall** because her total revenue (\$3.3M) is lower than the volume giants. She generates more profit per sale than anyone else and is growing fast. **Decision:** Pamela is your model for "Quality over Quantity." Promote her to a mentorship role to teach high-volume reps (like Linda and Jillian) how to maintain margins. Additionally, consider expanding her territory or giving her the highest-tier leads, as she has proven she can convert high-value deals better than any other rep in the organization.